

Threat of Entrants

Time and Cost of Sizeable Entry	Moderate
Economies of Scale	High
Distribution Strength Required	High
Cost Advantages to Existing PLayerS	No
Switching Costs for Customers	Hassle, Technology, Dependence
Asset Specificity in the Industry	High Geographic Specificity
Proprietary Product Difference	Low
Network Effect of the Product	Yes
IP Protection Against New Entrants	No Protection
Reputation of Existing Companies	Reputation important to get orders
Expected response to entry by existing companies	Moderate Strategic Reponse